

Sahara India Real Estate Corp v. SEBI (2012)

Public Issues, OFCDs and Regulatory Reach of SEBI

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Citation: (2013) 1 SCC 1 | Bench: 2 Judges (Radhakrishnan & Khehar, JJ.)

Core Ratio: An offer of securities to 50 or more persons is deemed a Public Issue under Section 67 of the Companies Act 1956, bringing it under mandatory SEBI jurisdiction.

Key Takeaways for Students:

- Hybrid instruments (OFCDs) fall squarely within the definition of securities.
- SEBI possesses plenary powers under Section 55A to protect investor interests in unlisted firms.
- Pierced corporate veils to prevent unregulated public deposit mobilization.